An increasing supply of would-be Indian jihadis meant the group could rely more heavily on indigenous actors. The destruction of the Babri Masjid in 1992 and communal violence that accompanied it had contributed to an initial wave of Indian volunteers who joined the group or trained with it. Muslim grievances continued to fester as a result of economic and political injustices, and were exacerbated by the rise of the Hindu nationalist movement in India. A decade after the Babri Masjid's demolition, riots in the state of Gujarat in early 2002 claimed the lives of 790 Muslims and 254 Hindus, according to official statistics.[90] Unofficial estimates put the death toll as high as 2,000. It was widely alleged that officials from the state government, led at the time by the pro-Hindu Bharatiya Janata Party encouraged and assisted Hindus who were involved in the violence.[91] The Gujarat riots mobilized a section of India's Muslim population already prone to radicalization as a result of relative deprivation and a sense of political alienation. More young men began seeking military training in Pakistan.[92] Because Lashkar had been building its Indian networks since the 1990s, and maintained the most robust training infrastructure in Pakistan, it was well placed to take advantage of this situation.

A terrorist network that became known as the Indian Mujahideen became the primary, though by no means the only, vehicle through which Lashkar escalated its involvement in terrorist attacks against India. The key players in the Indian Mujahideen network became active during the early years of the decade. They did not coalesce until 2004, however, and the network did not identify itself as the Indian Mujahideen until November 2007 when it issued the first of five manifestoes. The men who led this terrorist network came together through familial connections, personal ties often formed via association with the Student Islamic Movement of India [SIMI] and shared connections to Muslim members of the Indian criminal underworld.[93] SIMI was not launching terrorist attacks in India as an organization, but it had been a recruiting pool for Lashkar since the 1990 and remained a place where some of those who became involved in Indian jihadism rubbed elbows with one another. Muslim members of Indian organized crime had also played a role in promoting the growth of indigenous terrorism since the 1990s, the most notorious example being Dawood Ibrahim who was responsible for the bombing of the Bombay Stock Exchange, among other targets, in 1993. Ibrahim fled to Karachi following the attack, which was intended to avenge the destruction of the